

MARKETING STRATEGY

# EXECUTIVE BRIEFING

*Marketplace Simulation Final Analysis and Reflection — Team 4: CarbonFlux*

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## Contents

|   |                                                           |   |
|---|-----------------------------------------------------------|---|
| 1 | Executive Briefing #2: Final Analysis and Reflection..... | 3 |
|---|-----------------------------------------------------------|---|

## 1 Executive Briefing #2: Final Analysis and Reflection

Marketplace Simulation — Executive Briefing #2 / Final Analysis and Reflection, part of the simulation performance and Balanced Scorecard component (10%). An 8-round review of Team 4's company, CarbonFlux: significant events and learnings, financial and market performance, deviations from the original marketing plan, goals versus actual performance, preparation for future competition, and recommendations. Co-authored with Team 4: Shravistha Barapatre, Reshma Anil, and Sebastian Araujo Barrera.



Slide 1 — Title slide — Executive Briefing: CarbonFlux



### Significant Events and Learnings

**Key Events**

- CarbonFlux dominated the Mountain segment with a peak market share of 53.8% in Q5
- Total market share dipped to 21% in Q8 from a high of 25.7% in Q5
- Rising COGS across all product lines impacted profitability, particularly in high-volume segments

**Learnings**

- CarbonFlux's premium positioning in Mountain and Speed categories yielded higher gross margins but required more competitive pricing to sustain market share
- Competitors like Gear Shifter leveraged diversified product lines and aggressive pricing in growth segments

Slide 2 — Significant events and learnings — key events across the simulation and lessons on pricing and market share

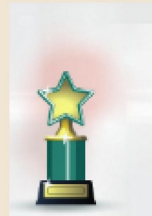
## Sales Q8 - key takeaways from 2 years in Business

### Sales - Total

| Brand                                                                                         | Units Sold    | Sales Revenue     | Rebates        | Cost of Goods Sold | Gross Margin     |
|-----------------------------------------------------------------------------------------------|---------------|-------------------|----------------|--------------------|------------------|
|  Airflux FN  | 3,262         | 4,658,000         | 54,455         | 1,862,008          | 2,741,537        |
|  Highflux FN | 2,126         | 2,487,650         | 32,960         | 1,028,310          | 1,426,380        |
|  Roadflux FN | 3,001         | 2,892,230         | 33,440         | 1,192,582          | 1,666,208        |
|  EaseFlux FN | 2,524         | 1,861,380         | 33,630         | 1,002,639          | 825,111          |
| <b>Total</b>                                                                                  | <b>10,913</b> | <b>11,899,260</b> | <b>154,485</b> | <b>5,085,540</b>   | <b>6,659,235</b> |

We Focused on Speed and Work as our main segments, there is evidence that taking on the Work segment didnt prove as profitable as we thought, reconsider the Work segment brand?

High revenues (almost 12 Million in Q8) being butchered by COGS, (5 Million in Q8) this was due to new components from R&D which raised the COGS coupled with non competitive prices killing revenues by almost half



Our company, **CarbonFlux**, has reached a significant milestone. We generated more than 11 million in sales in quarter 8. The sky is the limit!

Slide 3 — Sales in Q8 — key takeaways from two years in business, by brand



### Sales - Total

| Brand                                                                                        | Units Sold   | Sales Revenue    |
|----------------------------------------------------------------------------------------------|--------------|------------------|
|  Airflux  | 594          | 831,600          |
|  Highflux | 420          | 462,000          |
|  Roadflux | 414          | 385,020          |
| <b>Total</b>                                                                                 | <b>1,428</b> | <b>1,678,620</b> |

### Regional Profitability

|                               | NORAM - EUROPE   | APAC             |
|-------------------------------|------------------|------------------|
| Sales Revenue                 | 6,409,080        | 5,490,180        |
| - Rebates                     | 82,885           | 71,600           |
| - Cost of Goods Sold          | 2,720,393        | 2,365,147        |
| <b>= Gross Margin</b>         | <b>3,605,802</b> | <b>3,053,433</b> |
| Store Leases                  | 90,000           | 98,500           |
| + Sales Force Expenses        | 278,460          | 293,763          |
| + Brand Promotions            | 8,700            | 8,700            |
| + Special Programs            | 89,150           | 89,150           |
| + Point of Purchase Display   | 1,600            | 1,600            |
| + Internet Marketing Expenses | 229,736          | 67,401           |
| + Brand Advertising           | 3,831,755        | 2,732,814        |
| + Market Research             | 20,000           | 20,000           |
| <b>= Regional Expenses</b>    | <b>4,549,401</b> | <b>3,311,928</b> |
| <b>Regional Profit</b>        | <b>-943,599</b>  | <b>-258,495</b>  |
| % from Sales Revenue          | -15              | -5               |

## Financial Overview

1. CarbonFlux's revenue grew significantly from \$1.67M in Q3 to \$11.89M in Q8, driven by strong sales in Mountain and Speed segments.
2. Gross profit margins were healthy but eroded by rebates and increasing production costs in Q7 and Q8.
3. Our regional expenses surpassed our gross margin, highlighting inefficiencies that need immediate attention. This suggests we must optimize cost structures, reallocate resources, or reassess the pricing and sales strategy in these regions to restore profitability

Slide 4 — Financial overview — revenue growth, Q8 sales by brand, and regional profitability

# Market Performance



## 01

### Overall Market Share

The company's total market share experienced fluctuations, peaking at 25.7% in Q5 before declining to 21% in Q8.

## 02

### Important Segments

The top-performing segments for CarbonFlux were Speed Bikes and Recreation Bikes, while the EaseFlux FN (Work segment) was the worst-performing, with the lowest gross profit margin (44.3%) and the smallest contribution to overall profitability.

#### Brand Profitability Analysis (Q8)

##### 1. Key Metrics by Brand

The following profitability data was extracted from the brand profitability sheet for Q8:

| Brand       | Revenue (USD) | Rebates (USD) | COGS (USD) | Gross Profit (USD) | Gross Profit (%) |
|-------------|---------------|---------------|------------|--------------------|------------------|
| Airflux FN  | 4,658,000     | 54,455        | 1,862,008  | 2,741,537          | 58.9%            |
| Highflux FN | 2,487,650     | 32,960        | 1,028,310  | 1,426,380          | 57.3%            |
| Roadflux FN | 2,892,230     | 33,440        | 1,192,582  | 1,666,208          | 57.6%            |
| EaseFlux FN | 1,861,380     | 33,630        | 1,002,639  | 825,111            | 44.3%            |

Slide 5 — Market performance — overall market share, top segments, and brand profitability analysis

# Deviations from Marketing Plan

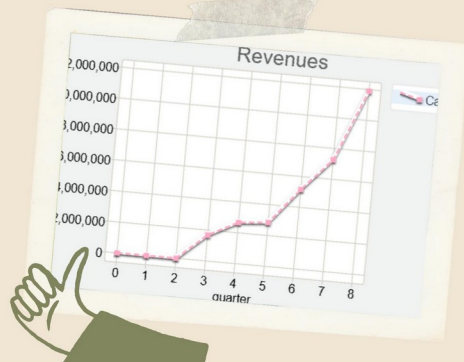


- CarbonFlux shifted focus from expanding Recreation segment offerings to solidifying its dominance in the Mountain category, a move that temporarily boosted profitability.
- The planned investment in APAC distribution was partially redirected to reinforce the NORAM-Europe supply chain, prioritizing higher-margin markets.

|  Highflux FN |  Roadflux FN |
|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| 2,487,650                                                                                       | 2,892,230                                                                                         |
| 32,960                                                                                          | 33,440                                                                                            |
| 1,028,310                                                                                       | 1,192,582                                                                                         |
| <b>1,426,380</b>                                                                                | <b>1,666,208</b>                                                                                  |

Slide 6 — Deviations from the marketing plan — shift toward the Mountain category and the NORAM-Europe supply chain

# Goals vs. Performance



- **Market Share Goals:** Fell short of achieving 25% total market share in Q8, ending at 21% due to intensified competition and pricing pressure.
- **Profitability Goals:** Met gross profit targets in Q6 but missed them in Q7 and Q8 due to escalating COGS and rebates.
- **Revenue Goals:** Exceeded revenue expectations in Q7 and Q8, supported by strong sales in the Recreation and Speed categories.

Slide 7 — Goals vs. performance — market share, profitability, and revenue goals

## Preparation for Future Competition

**A.**

### Expand in Growth Segments:

- Develop a new Youth product line to compete with Gear Shifter's offerings.
- Enhance marketing campaigns targeting Work/Mountain buyers with value propositions.



**B.**

### Regional Diversification

Explore opportunities in different regions where stores haven't been set up yet and expand the amount of stores in the regions that are currently being served

Slide 8 — Preparation for future competition — expanding in growth segments and regional diversification



## Lessons Learned

CarbonFlux's strategy to focus on high-margin categories proved effective but highlighted the risks of over-reliance on a few segments.

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Aggressive competition requires adaptive pricing and market diversification to sustain leadership.

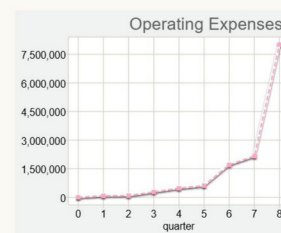
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Long-term profitability depends on balancing operational investments with market expansion.

Slide 9 — Lessons learned

## RECOMMENDATIONS

- **Innovate Product Lines:** Invest in R&D to introduce differentiating brands catering to multiple segments.
- **Enhance Market Intelligence:** Use competitor analysis to anticipate pricing and promotional strategies.
- **Invest in Airflux FN:** Expand its product line or improve features to capitalize on its strong market presence and profitability and continue premium positioning in the speed segment while introducing mid-range products to capture price-sensitive customers
- **Operational Efficiency:** Evaluate COGS for all brands, especially EaseFlux FN, to identify inefficiencies and cost-saving opportunities.



Slide 10 — Recommendations — product innovation, market intelligence, investment in Airflux FN, and operational efficiency



*Slide 11 — Closing slide — thank you from CarbonFlux*